

1.

a.

Dec 31

Dr. Bad debts expense 3,000

Cr. Allowance for doubtful accounts 3,000

b. Allowance for Doubtful Accounts=3,800+3,000=6,800

| Current Assets                       |         |        |
|--------------------------------------|---------|--------|
| Accounts receivable                  | 80,000  |        |
| Less allowance for doubtful accounts | (6,800) |        |
| Net realizable accounts receivable   |         | 73,200 |

2.

a.

Desired balance in Allowance for Doubtful Accounts=80,000\*5%=4,000

Balance of Allowance for Doubtful Accounts =3,800

Adjustment=200 (on Credit side)

Dec 31

Dr. Bad debts expense 200

Cr. Allowance for doubtful accounts 200

b.

| Current Assets                       |         |        |
|--------------------------------------|---------|--------|
| Accounts receivable                  | 80,000  |        |
| Less allowance for doubtful accounts | (4,000) |        |
| Net realizable accounts receivable   |         | 76,000 |

3. under assumption 1:

Journal entries:

Jun 3

Dr. Allowance for doubtful accounts 500

Cr. Accounts receivable-John Shifty 500

Nov 9

Dr. Accounts receivable-John Shifty 500

Cr. Allowance for doubtful accounts 500

Nov 11

Dr. Cash 500

Cr. Accounts receivable-John Shifty 500

under assumption 2 (the same with under assumption 1):

Jun 3

Dr. Allowance for doubtful accounts 500

Cr. Accounts receivable-John Shifty 500

Nov 9

Dr. Accounts receivable-John Shifty 500

Cr. Allowance for doubtful accounts 500

Nov 11

Dr. Cash 500

Cr. Accounts receivable-John Shifty 500